ROLE OF MARKET FORCES IN INDIAN ECONOMY

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1.MARKET BASICS:

1.1 Market participants:

Markets consist of various participants, including buyers, sellers and intermediaries.

Buyers seek goods and services, while sellers offer them. Intermediaries facilitate transactions.

1.2 Supply and Demand:

The number of products or services that are offered on the market is referred to as supply. Production, technology, and resource availability are some of the variables that affect it.

The desire of consumers for certain goods or services is represented by demand. It is contingent upon variables such as population, preferences, and income.

Prices and quantities exchanged are determined by the interplay between supply and demand.

1.3 Price Mechanism:

The method by which prices change in response to supply and demand is known as the price mechanism.

On the other hand, low supply results in lower prices.

This system makes sure that resources are allocated effectively.

1.4 Competition:

Efficiency in the market is driven by competition. It motivates businesses to innovate, cut expenses, and improve quality.

When there are several vendors offering comparable goods in a competitive market, buyers have options.

A few large enterprises operating in an oligopoly, or a monopoly can impede competition

1.5 Role of Government:

Although market forces function autonomously, governments step in to correct market imperfections.

Regulation guards against the misuse of market power, guarantees fair play, and safeguards consumers.

Because of inefficiencies in the market, the government provides public goods (such as infrastructure and defense).

1.6 Market Types:

Markets can be categorized based on the nature of goods:

Goods Markets:

Trade tangible goods in goods markets (e.g., cellphones, vehicles).

Services Markets:

Trade intangible services, like healthcare and education, on services markets.

Financial Markets:

These enable exchanges of money, stocks, bonds, and other financial instruments.

1.7 Market Equilibrium:

When supply and demand are equal, equilibrium arises, leading to stable pricing.

Adjustments result from deviations; higher prices draw in more supply, while lower prices draw in less.

1.8 Consumer Behavior:

According to utility theory, customers make decisions by maximising their level of enjoyment, or utility.

When making a purchase, consumers take price, quality, and preferences into account.

1.9 Producer Behavior:

Producer decisions are based on maximising profits. Businesses want to cut expenses while increasing revenue.

Production decisions are influenced by variables such as competition, input pricing, and technology.

1.10 Market Failure:

Even in cases where markets are efficient, government intervention is necessary:

Externalities: Intentional consequences for other parties (pollution, for example).

Public goods are non-rivalrous and non-excludable items, such as street lighting.

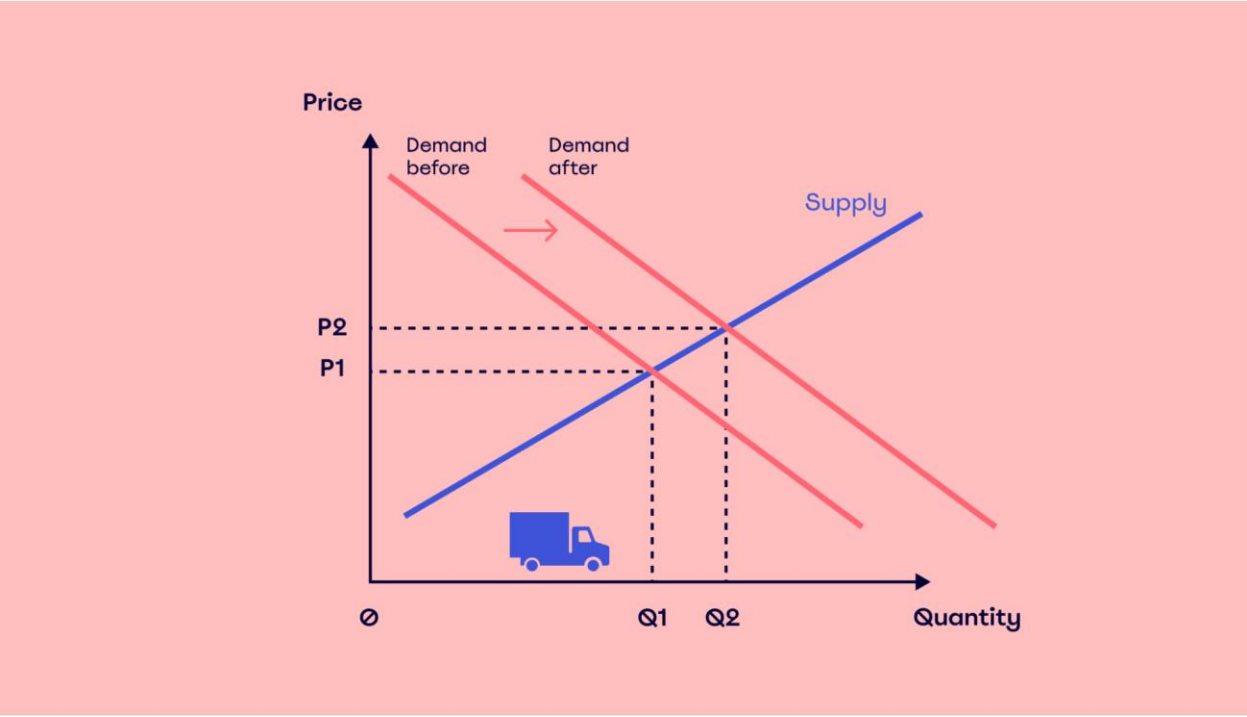
Unequal information between buyers and sellers is known as information asymmetry.

2. SUPPLY AND DEMAND DYNAMICS:

Markets function as gathering places for the exchange of products and services between buyers and sellers. The concepts of supply (the number of commodities available) and demand (the desire of consumers for those items) govern these interactions.

Prices typically decrease when supply outpaces demand, which incentivizes buyers to purchase more. On the other hand, when demand exceeds supply, prices increase, and customers start looking for alternatives.

For example, if unfavorable weather causes a crop to become scarce, the crop's price will increase. Next, consumers look into alternatives, such as different grains.



3.INVISIBLE HAND AND SELF-REGULATION:

Adam Smith, an economist, popularised the idea of the "invisible hand" in markets. It suggests that prices are set by market forces and not by the government.

Prices dynamically change in response to supply and demand. Corrupt practices and bureaucracy are reduced by this self-regulation.

For instance, when there is an overabundance of rental properties available, prices decline, which incentivizes landlords to raise rents until occupancy increases.

4.RATIONAL SCARCITY:

A good becomes scarce when it is nearly depleted or becomes limited. When this happens, prices are adjusted by market forces. For example: When a commodity becomes scarce (due to crop failure, for example), its price increases, which incentivizes consumers to look for alternatives.

Driven by escalating costs, companies investigate novel resources or create alternatives (for instance, a shortage of wheat augmenting the need for barley and rice).

5. INCENTIVES:

Businesses have incentives to adjust to shifting demand due to market dynamics.

Product costs increase as they become more popular (P2).

An equilibrium is maintained when higher prices encourage businesses to expand their supply (S2).

An illustration of this would be companies investing in lithium mining due to the rising demand for lithium batteries.

6. EFFICIENY:

Businesses are incentivized by market forces to adjust to shifting demand.

Prices go up as a product becomes more popular (P2).

In order to maintain equilibrium, higher prices tell businesses to expand their supply (S2).

For instance, companies are investing in lithium mining as a result of the rising demand for lithium batteries.

7. LIMITAYION OF MARKETING:

Public goods are not supplied because there is no financial incentive for businesses to supply them, making it difficult for them to charge for them. For example, street lighting is impractical due to the question of who would pay for it. Customers could free-ride (enjoy without paying) if it is offered. The legal system, law and order, and the preservation of private property are other significant public goods that are not supplied by a free market**.**

Externalities. A market is efficient at allocating resources if the costs are met by firm and consumer. However, many goods and services create external costs to other people in society. For example, when you generate coal-powered electricity, there are very substantial costs of pollution, global warming – for people around the globe. In a market, this external cost is not included in the price and so we get over-consumption of these goods with negative externalities.

Positive externalities. Similarly, goods which have significant positive externality may be under-provided and under-consumed.

7. CONCLUTION:

Market forces are dynamic and adaptive, shaping India’s economic trajectory. As the Indian economy continues to evolve, understanding and harnessing these forces remain critical for sustainable growth

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